# Premier Explosives Independent Valuation Project Report

## Objective

The goal of this project was to create a valuation model for Premier Explosives Ltd that makes sense and can be defended. I used Premier Explosives Ltd as an example not a made up one. This way I could compare our valuation to the actual price that Apollo Micro Systems Limited paid.

The actual purchase that I used to check my work was when Apollo Micro Systems Limited announced on 9 July 2026 that they were going to buy 41.33 percent of Premier Explosives Ltd from the people who already owned the company. Apollo Micro Systems Limited paid ₹1,550 crore for this part of Premier Explosives Ltd. They paid all of it in cash. Using a purchase, like this to check our work makes the project a lot more believable than if I had just made up a fake example. I used Premier Explosives Ltd as the company to value because I wanted to use information to get a realistic valuation of Premier Explosives Ltd.

## Company Selection Rationale

Premier Explosives was chosen because Premier Explosives is a company that operates in the defence manufacturing sector. This sector is one of the growing areas because India has set aside a lot of money for defence in the financial year 2026-2027 about ₹7.5 lakh crore.

Premier Explosives and Apollo Micro Systems are companies that are listed on the stock market. This means I can get information about Premier Explosives and Apollo Micro Systems from sources that are reliable and open to the public.

The announcement about the acquisition of Premier Explosives was made recently. This gives me a chance to figure out what Premier Explosives is worth, on my own and then compare it to the price that was announced for the transaction.

## Data Collection

Historical financial information for the years FY21, to FY26 was gathered from Screener.in.

This information was collected on a basis.

The details we got include:

- Revenue
- EBITDA
- Net Profit
- Debt
- Cash and Cash Equivalents
- Market Capitalization

We checked the acquisition cost using public news sources.
These sources include:

- Business Standard
- Business Today
- TipRanks

We did this to make sure our comparison was based on confirmed deal details.

## Financial Analysis

I looked at how the company did in the past to figure out what it might be worth. The company's revenue went up by 20.6 percent every year. The company's average earnings before interest and taxes was 12.8 percent of revenue. The company's average net profit margin was 6.4 percent of revenue.

Even though the revenue did not change much from FY25 to FY26 it went from ₹417 Cr to ₹388 Cr the company's earnings before interest and taxes went down from ₹58 Cr to ₹39 Cr. This means the company made money from the same amount of revenue which is a problem. The revenue was stable. The company's earnings, before interest and taxes still went down which is not good.

## Discounted Cash Flow Valuation

I made a Discounted Cash Flow (DCF) model that looks at money over five years. This model uses things like how money we think we will make our EBITDA and how much cash we will really have which is about 70% of our EBITDA. We also used a discount rate of 13% and a growth rate of 5% at the end.

Results:

• Enterprise Value: ₹846 Cr
• Equity Value: ₹874 Cr

## Comparable Company Valuation

The companies that are similar to this one are Astra Microwave and Solar Industries. Astra Microwave has an EV/EBITDA of 56.5 times. Solar Industries has an EV/EBITDA of about 63.3 times. So the average ratio is 59.9 times.

If we use this ratio to calculate the value we get the following results, for Astra Microwave and Solar Industries:

For the year 2026 EBITDA the values are

- Enterprise Value is ₹2335 Cr
- Equity Value is ₹2363 Cr

For the year 2025 EBITDA the values are

- Enterprise Value is ₹3473 Cr
- Equity Value is ₹3533 Cr

## Final Valuation Summary

Discounted Cash Flow: EV ₹846 Cr | Equity ₹874 Cr
Comparable Companies (FY26 EBITDA): EV ₹2335 Cr | Equity ₹2363 Cr
Comparable Companies (FY25 EBITDA): EV ₹3473 Cr | Equity ₹3533 Cr
Current Market Capitalization: ₹3,696 Cr
Actual Acquisition (Implied 100% Equity Value): ₹3,750 Cr

## Key Takeaways

The DCF valuation was done with cash flow guesses and it gave a lower value than other methods that are based on the market. When I looked at companies I saw that they were trading at high multiples in their sector and the FY25 EBITDA approach gave me a value that was closest to the actual price paid for the company. This project shows how to do valuation modeling in a way how to pick similar companies and check the model to make sure it is correct and compare it to a real merger and acquisition deal. The DCF valuation and comparable company analysis were parts of the project and the comparable company analysis helped me understand the valuation of the company. The project is an example of how to use valuation modeling and analysis to understand the value of a company like the one, in the merger and acquisition deal.